

Ashok Kumar Ajmera v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Others

High Court of Judicature at Allahabad · Division Bench · 6 July 2012 (order-sheet, 26.4.2011 to 6.7.2012) · WRIT - C No. - 23988 of 2011 · **Writ dismissed; a final assessment order (24.10.2008) exists, so petitioner relegated to a Section 127 appeal (grounds open)**

Source file: WRIC(A)_23988_2011.pdf

HEADNOTE

Order-sheet culminating in a relegation to the statutory appeal. The petitioner, owner of premises on which a Hindustan Petroleum retail outlet stood, challenged a provisional assessment and recovery citation on the theft of electricity allegedly committed on 8.8.2008, arguing that as he had paid nothing after 29.12.2006 his connection stood deemed temporarily and then permanently disconnected under Clauses 4.36, 4.37 and 4.38 of the U.P. Electricity Supply Code, 2005, so that no theft liability could be fastened on him. Recovery under the citation dated 11.12.2010 was stayed on 26.4.2011 on a deposit of Rs.1,25,000. Dismissing the writ on 6.7.2012, the Division Bench (Sunil Ambwani and Aditya Nath Mittal, JJ.) held that the petitioner had been found to be unauthorisedly drawing electricity even after disconnection, that a theft case had been registered and a final assessment order passed on 24.10.2008, and that the petitioner had a right to file an appeal under Section 127 of the Electricity Act, 2003 and to raise all the grounds raised in the writ; on the Hindustan Petroleum affidavit, the liability for the dues from the demand notice dated 25.11.2010 and citation dated 11.12.2010 was upon the petitioner. The writ was dismissed with liberty to file a Section 127 appeal within one month, the deposit to be taken into account by the appellate authority.

FACTUAL SUMMARY

Ashok Kumar Ajmera, owner of the premises in question, had been granted a Retail Outlet Dealership by Hindustan Petroleum Corporation Ltd. (HPCL); the dealership agreement was terminated on 23 January 2007, after which respondent no.8 was given the contract to run the retail outlet in the same premises, the petitioner continuing as lessor to HPCL. Theft of electricity was allegedly committed on 8 August 2008. The petitioner had paid the electricity bill up to 29 December 2006 and, contending that no payment thereafter meant the connection in his name stood deemed temporarily and then permanently disconnected under Clauses 4.36, 4.37 and 4.38 of the U.P. Electricity Supply Code, 2005, argued that no liability for the alleged theft and the consequent assessment could be fastened on him. A demand notice dated 25 November 2010 and a recovery citation dated 11 December 2010 were issued, and he filed Writ-C No.23988 of 2011. On 26 April 2011 the Court entertained the petition and stayed recovery under the citation subject to a deposit of Rs.1,25,000. Hindustan Petroleum filed an affidavit confirming the termination of the dealership on 23.1.2007 and that it was now running the petrol pump through a diesel generator. After a long series of adjournments, the Division Bench of Sunil Ambwani and Aditya Nath Mittal, JJ. disposed of the writ on 6 July 2012.

REUSABLE CONSTRUCTIONS

1. Where a theft case has been registered and a final assessment order passed, the assessee's remedy against the assessment is a statutory appeal under Section 127 of the Electricity Act, 2003, in which he may raise all the grounds urged in his writ petition; the writ is dismissed relegating him to that appeal. **order of 6.7.2012**
2. A plea that non-payment led to deemed temporary and then permanent disconnection under Clauses 4.36-4.38 of the U.P. Electricity Supply Code, 2005 does not, in a writ, defeat a theft assessment where the assessee was found unauthorisedly drawing electricity even after disconnection; the contention is for the Section 127 appellate authority. **order of 6.7.2012**
3. The liability for electricity dues raised by a demand notice and recovery citation may be fixed on the owner/lessor in whose name the connection stands, notwithstanding the termination of a third party's dealership over the premises and its running of the outlet. **order of 6.7.2012**
4. When relegating an assessee to a Section 127 appeal, the writ court may direct that an amount deposited under an interim order be taken into account by the appellate authority in entertaining the appeal, and that the appeal, if filed within the stipulated time, be decided on merits. **order of 6.7.2012**

HOLDING-UNIT · EA2003::127**RATIO**

Final assessment order passed on a theft assessment: assessee relegated to the Section 127 appeal with all grounds open

QUESTION

Where a theft case has been registered and a final assessment order passed, should the assessee's writ challenging the provisional assessment be entertained, or is he to be relegated to the appeal under Section 127 of the Electricity Act, 2003?

HOLDING

Relegated to the appeal. The petitioner was found to be unauthorisedly drawing electricity even after disconnection, on which a theft case was registered and a final assessment order was passed on 24.10.2008. The petitioner has a right to file an appeal under Section 127 of the Electricity Act, 2003 and to raise all the grounds raised in the writ petition, including his plea that the connection stood deemed disconnected so that no liability could be fastened on him. On the Hindustan Petroleum affidavit, the liability for the dues from the demand notice dated 25.11.2010 and the citation dated 11.12.2010 was upon the petitioner. The writ petition was accordingly dismissed with liberty to file a Section 127 appeal within one month, to be decided on merits, the appellate authority taking into account the Rs.1,25,000 deposited under the interim order. **order of 6.7.2012**

EVIDENCE *"The petitioner was found to be unauthorisedly drawing the electricity, even after disconnection on which a theft case was registered and a final assessment order was passed on 24.10.2008."* **order of 6.7.2012**

EVIDENCE *"The petitioner has a right to file an appeal under Section 127 of the Electricity Act, 2003, and raise all the grounds, which have been raised in this writ petition."* **order of 6.7.2012**

EVIDENCE *"The writ petition is dismissed with liberty to the petitioner to file an appeal under Section 127 of the Electricity Act."* **order of 6.7.2012**

FLAG Order-sheet: 25 pages, no printed page numbers or numbered paragraphs; pins are order dates. One interim order (25.7.2011) is in Hindi. The interim stay is of 26.4.2011 (Satya Poot Mehrotra and Rajesh Chandra, JJ.); the operative merits disposal is the 6.7.2012 order (Sunil Ambwani and Aditya Nath Mittal, JJ.).

HOLDING-UNIT · UP-2005::4.36**OBITER**

Deemed-disconnection plea does not defeat a theft assessment in a writ where unauthorised drawing continued; left for the appeal

QUESTION

Does the deemed temporary and permanent disconnection of the connection under Clauses 4.36-4.38 for non-payment negate liability for theft of electricity, so as to warrant interference in the writ?

HOLDING

Not in this writ. The petitioner contended that, having paid nothing after 29.12.2006, his connection stood deemed temporarily and then permanently disconnected under Clauses 4.36, 4.37 and 4.38 of the U.P. Electricity Supply Code, 2005, so no theft liability could be fastened on him. The Court did not accept this as a basis to interfere: he was found to be unauthorisedly drawing electricity even after disconnection, a theft case was registered and a final assessment order passed. The deemed-disconnection contention was expressly left open to be raised as a ground in the Section 127 appeal. **order of 26.4.2011; order of 6.7.2012**

QUALIFIER

The Court did not adjudicate the deemed-disconnection defence on merits; it observed only that unauthorised drawing continued after disconnection and left all grounds to the Section 127 appellate authority.

EVIDENCE *"By this writ petition, the petitioner has challenged the provisional assessment order, on the ground that the electricity connection has been temporarily, and thereafter permanently disconnected, after which the petitioner was not liable to pay any amount."* **order of 6.7.2012**

EVIDENCE *"The petitioner has a right to file an appeal under Section 127 of the Electricity Act, 2003, and raise all the grounds, which have been raised in this writ petition."* **order of 6.7.2012**

final-assessment-order-relegates-assessee-to-section-127-appeal

Once a theft case is registered and a final assessment order passed, the writ challenging the assessment is dismissed and the assessee relegated to the Section 127 appeal with all grounds open. Same Section 127 cluster as SCJ-1266, SCJ-047. [order of 6.7.2012](#)

deemed-disconnection-does-not-bar-theft-assessment-in-writ

A deemed-disconnection plea under Clauses 4.36-4.38 does not, in a writ, negate a theft assessment where unauthorised drawing continued after disconnection; the point is for the Section 127 appeal. [order of 6.7.2012](#)

owner-lessor-liable-for-electricity-dues-despite-third-party-operation

The liability for dues under the demand notice and citation was fixed on the owner/lessor in whose name the connection stood, notwithstanding termination of the dealership and Hindustan Petroleum's running of the outlet. [order of 6.7.2012](#)

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — MERITS OF THE THEFT ASSESSMENT AND OF THE DEEMED-DISCONNECTION DEFENCE UNDER CLAUSES 4.36-4.38 OF THE SUPPLY CODE, 2005**

The Court dismissed the writ with liberty to file a Section 127 appeal in which all the grounds raised in the writ, including the deemed-disconnection and non-liability contentions, could be urged; it did not decide those grounds on merits. [order of 6.7.2012](#)

NOT DECIDED — FINAL APPORTIONMENT OF LIABILITY AS BETWEEN THE PETITIONER-OWNER, THE TERMINATED DEALER AND HINDUSTAN PETROLEUM CORPORATION LTD.

The Court recorded, on the Hindustan Petroleum affidavit, that the liability for the dues from the demand notice of 25.11.2010 and citation of 11.12.2010 was upon the petitioner, but the ultimate apportionment of liability was left to be worked out in the statutory appeal where all grounds remained open. [order of 6.7.2012](#)

RELATED CASES — SEE ALSO

SCJ-1268 — Companion DVVNL assessment matter (same interim-order pattern); there the demand rested on a provisional assessment and was quashed, here a final assessment order existed so the petitioner was relegated to the Section 127 appeal.

SCJ-1266 — Theft-assessment relegated to the Section 127 appellate remedy; the assessee must raise his grounds before the appellate authority.

SCJ-1267 — Provisional/final assessment and the Section 126/127 scheme; here a final assessment order existed, enabling the Section 127 appeal.

SCJ-047 — Section 126 assessment and Section 127 appeal cluster under the Electricity Act, 2003.